# 1. TYPES OF MARKET RESEARCH (Lecture 9)

Market Research is the systematic process of collecting, analyzing, and interpreting information about a market, its customers, competitors, and the industry to make informed decisions.

## 1.1 Two Main Types

| | PRIMARY RESEARCH | SECONDARY RESEARCH |
|---|---|---|
| **Definition** | Collecting NEW data specifically for the current need | Analyzing EXISTING data previously collected for other purposes |
| **Tailored?** | Yes – customised to the company's specific needs | No – general-purpose data adapted for use |
| **Methods / Sources** | • Surveys<br>• Interviews (one-on-one)<br>• Focus Groups<br>• Observations | • Industry Reports<br>• Academic Journals<br>• Government Data<br>• Online Databases |

## 1.2 Tools & Techniques

| QUANTITATIVE TOOLS | QUALITATIVE TOOLS |
|---|---|
| • Surveys (large-scale, quantifiable data)<br>• Experiments (cause-and-effect tests)<br>• Statistical Analysis (regression, hypothesis testing, descriptive stats) | • Focus Groups (interactive discussions)<br>• In-depth Interviews (deep consumer insights)<br>• Ethnography (observational – natural environment) |

## 1.3 6-Step Market Research Process

1. Define the Problem – outline objectives and research questions
2. Develop the Research Plan – choose qualitative/quantitative, methods, analysis
3. Collect Data – execute plan reliably and validly
4. Analyze Data – identify patterns using statistical tools
5. Report Findings – charts, graphs, tables in actionable format
6. Make Decisions – adjust strategies, develop products, enter new markets

## 1.4 Applications of Market Research

- Product Development – identify needs; test concepts & prototypes
- Marketing Strategy – understand segments; evaluate campaign effectiveness
- Competitive Analysis – identify competitors' strengths/weaknesses; market positioning
- Customer Satisfaction – measure loyalty; identify improvement areas

## 1.5 Case Study – Coca-Cola Zero Sugar Rebrand (2017)

Coca-Cola Zero was launched in 2005 as a zero-calorie alternative. By 2017 it was rebranded as Coca-Cola Zero Sugar based on extensive market research.

| Research Stage | What Was Done |
|---|---|
| **Primary – Surveys** | Gathered data on taste, packaging, brand perception, purchasing behaviour |
| **Primary – Focus Groups** | Sessions with young adults, diet-conscious individuals, loyal Coke drinkers |
| **Primary – Blind Taste Tests** | Compared original Coca-Cola Zero vs. potential new formulas |
| **Secondary – Industry Reports** | Confirmed growing demand for healthier beverages and declining sugary drink sales |
| **Secondary – Competitor Analysis** | Studied Pepsi Max and other zero-calorie drinks; identified gaps |

### Key Findings

- Taste Preference: Many consumers felt Coca-Cola Zero did not taste similar enough to original Coke
- Health Trends: Growing demand for zero-sugar without compromising taste
- Brand Confusion: Some consumers confused Coca-Cola Zero with Diet Coke

### Strategy & Results

- Reformulated the product; renamed to 'Coca-Cola Zero Sugar' for clarity

- Marketing campaign: TV ads, digital/social media, wide sampling, influencer partnerships
- Result: Positive consumer acceptance, increased market share, reduced brand confusion

## 2. LEGAL CONSIDERATIONS – WITH EXAMPLES (Lecture 10)

Understanding the legal landscape is essential to ensure compliance and avoid pitfalls. In Pakistan, laws govern registration, IP, taxation, labour, contracts, and dispute resolution.

### 2.1 Business Structures (Pakistan)

| Structure | Key Features | Governing Law |
|---|---|---|
| **Sole Proprietorship** | One owner; simple setup; minimal regulation | Local trade bodies + tax authorities |
| **Partnership** | 2+ individuals share profits & losses | Partnership Act, 1932 |
| **LLP** | Benefits of both partnership and company; limited liability | LLP Act, 2017 |
| **Private Limited** | Limited liability for shareholders; more complex | Companies Act, 2017 (SECP) |
| **Public Limited** | Can sell shares publicly; most regulated | Companies Act, 2017 (SECP) |

*Example: A freelance graphic designer → Sole Proprietorship. A tech startup building an app → LLC. A biotech company seeking investment → Corporation.*

### 2.2 Intellectual Property (IP) Rights

| IP Type | What It Protects | Example |
|---|---|---|
| **Trademark** | Brand names, logos, slogans (Trademarks Ordinance, 2001) | Registering a startup's unique logo and name |
| **Patent** | Inventions & innovations (Patents Ordinance, 2000) | Filing a patent for a new medical device |
| **Copyright** | Literary & artistic works (Copyright Ordinance, 1962) | Securing copyright on original software code |
| **Industrial Design** | Visual design of objects (Registered Designs Ordinance, 2000) | Design of a product casing or interface |

Why IPR matters: Secures competitive advantage · Prevents unauthorized use · Enhances business valuation for investors

### 2.3 Taxation

- Income Tax – on individuals & businesses (Income Tax Ordinance, 2001)
- Sales Tax – on sale of goods & services (Sales Tax Act, 1990)
- Corporate Tax – on company profits; rates vary by structure

Compliance: Regular tax return filing, maintain proper financial records, pay on time to avoid penalties.

### 2.4 Labour Laws

| Requirement | Detail + Example |
|---|---|
| **Employment Contracts** | Must outline salary, benefits, termination conditions. Example: Offer letters to first hires. |
| **Minimum Wage** | Adhere to government-set minimum wage. Example: Retail startup pays at least minimum wage. |
| **Working Conditions** | Factories Act, 1934 & Shops and Establishment Ordinance, 1969. |
| **Social Security** | Contributions to EOBI and other social security schemes. |
| **Workplace Safety** | OSHA standards. Example: Manufacturing startup implements safety protocols. |

### 2.5 Contracts and Agreements (Startups)

| Agreement | Purpose | Example |
|---|---|---|
| **Founders' Agreement** | Roles, responsibilities, equity split | Two co-founders agree on 60-40 equity split and document it |
| **NDA** | Protects confidential information | Signing NDAs before sharing business plans with investors |
| **Employment Contracts** | Define terms of employment clearly | Detailing job responsibilities, salary, and benefits for first hires |

**Elements of a Valid Contract:** Offer and Acceptance. Intention to create legal relations. Lawful Consideration. Capacity of parties. Free consent

## 2.6 Dispute Resolution Mechanisms

| Method | Description | Example |
|---|---|---|
| **Negotiation** | Direct discussion between parties | Settling a customer complaint directly |
| **Mediation** | Neutral third party facilitates resolution | Resolving a co-founder dispute |
| **Arbitration** | Binding resolution by arbitrator (Arbitration Act, 1940) | Arbitration clause in contracts |
| **Litigation** | Formal court process (Civil Procedure Code, 1908) | Suing a competitor for patent infringement |

ADR (Negotiation/Mediation/Arbitration) advantages: Cost-effective, Time-saving, Confidential

## 2.7 Regulatory Compliance Examples

- Healthcare startup: Comply with DRAP (Pakistan) or HIPAA (USA) for data privacy
- Food delivery startup: Ensure all vendors comply with PSQCA food safety standards
- General: Anti-money laundering regulations, Consumer protection laws, Competition Act 2010
- Funding/Securities: SEC regulations when issuing stock; regular financial disclosures to investors

# 3. FUNDING OPTIONS FOR STARTUPS (Lecture 11)

Choosing the right funding depends on: stage of startup, capital needed, desired control level, and growth potential.

| Funding Type | Definition | Advantages | Disadvantages |
|---|---|---|---|
| **1. Bootstrapping** | Using personal savings & business revenue | Full control; no profit sharing; efficient use of resources | Limited capital; slower growth; high personal financial risk |
| **2. Friends & Family** | Funds from personal networks | Easier to obtain; flexible terms; emotional support | Strain on relationships; lack of formality; risk of losing connections |
| **3. Angel Investors** | Wealthy individuals providing capital for equity/convertible debt | Large capital; mentorship; networking opportunities | Dilution of ownership; loss of control; high growth expectations |
| **4. Venture Capital (VC)** | Firms investing in high-growth startups for equity | Large sums; business expertise; strong network | Significant dilution; high pressure for rapid growth; potential conflicts |
| **5. Crowdfunding** | Small amounts from many people via online platforms | Validates idea; large investor pool; marketing + feedback | Time-consuming; risk of public failure; platform fees |
| **6. Bank Loans** | Borrowing from banks/financial institutions | No ownership dilution; predictable repayment; builds credit | Needs strong credit history; repayments strain cash flow; interest & fees |
| **7. Grants & Competitions** | Non-repayable funds from govt/organizations/competitions | No repayment; no equity dilution; enhances credibility | Highly competitive; lengthy application; fund-use restrictions |
| **8. Incubators & Accelerators** | Programs offering mentorship, resources, sometimes funding for equity | Mentorship; investor network; office space & services | Equity loss; fixed program duration; may lose some business control |

## Crowdfunding Types

- Rewards-based: Backers receive a product/service in return
- Equity-based: Investors receive equity in the company
- Debt-based: Investors are repaid with interest

## Case Study – XYZ Tech (Wearable Health Monitor)

Founded by Jane Doe & John Smith in 2018. Used ALL 8 funding stages sequentially:

| Stage | Amount | Terms | Outcome |
|---|---|---|---|
| **Bootstrapping** | $30,000 | Personal savings | Developed working prototype; funds depleted quickly |
| **Friends & Family** | $50,000 | Informal agreements | Refined prototype; initial market testing |
| **Angel Investor** | $200,000 | 10% equity | Hired team; launched marketing campaign; got mentorship |

| | | | |
|---|---|---|---|
| **Crowdfunding** | $150,000 raised (target $100k) | Rewards-based (Kickstarter) | 2,000+ backers; validated market demand; early adopter community |
| **Venture Capital** | $2,000,000 | 20% equity | Scaled operations; entered international markets; increased growth pressure |
| **Bank Loan** | $500,000 | Loan (favorable terms) | Managed cash flow without further dilution |
| **Grants** | $150,000 total | $100k govt grant + $50k competition | Boosted credibility; attracted media and investor attention |
| **Accelerator** | $100,000 | 5% equity + mentorship + office space | Improved business model; connected with customers and investors |

# 4. FINANCIAL MANAGEMENT – CASE STUDIES (Lecture 12)

Effective financial management maximizes business value, ensures stability, and optimizes resource use.

## Key Topics Quick Reference

| Topic | Key Points |
|---|---|
| **Financial Planning** | Sales / Expense / Profit / Cash Flow Forecasting. Tools: Break-even, Sensitivity, Financial Modeling |
| **Budgeting** | Operating (day-to-day) \| Capital (long-term) \| Cash (cash flow) budgets. Process: Set objectives → gather data → estimate → review → monitor |
| **Cash Flow Mgmt** | Strategies: Accelerate receivables, Delay payables, Manage inventory. Ensures liquidity, avoids insolvency |
| **Financing** | Equity (no repayment, dilutes ownership) vs Debt (repayment needed, no dilution, tax benefits) |
| **Risk Management** | Operational \| Financial \| Market risks. Strategies: Avoidance, Reduction, Transfer (insurance), Acceptance |

## Financial Ratios Summary

| Ratio Category | Examples | What It Measures |
|---|---|---|
| **Liquidity** | Current Ratio, Quick Ratio | Ability to meet short-term obligations |
| **Profitability** | Gross Margin, Net Profit Margin, ROA | Ability to generate profit |
| **Leverage** | Debt-to-Equity, Interest Coverage | Extent of debt used |
| **Efficiency** | Inventory Turnover, AR Turnover | How effectively resources are used |

## Case Study A – XYZ Coffee Shop (Jane)

### Financial Planning & Forecasting

- Current Sales: $20,000/month | Growth: 10% per quarter
- Monthly Expenses: $15,000 | Expected increase: 5% annually
- Current Monthly Profit: $20,000 - $15,000 = $5,000
- Projected Monthly Profit (Next Year): $22,000 - $15,750 = $6,250

### Budgets

| Operating Budget | Capital Budget |
|---|---|
| Rent: $4,000<br>Utilities: $1,000<br>Salaries: $6,000<br>COGS: $3,000<br>Marketing: $1,000 | New Espresso Machine: $5,000<br>Furniture for New Location: $10,000<br>Initial Setup – Second Location: $20,000 |

### Cash Flow Strategies

- Accelerating Receivables: Loyalty cards and pre-paid coffee cards for upfront payments
- Delaying Payables: Negotiate longer payment terms with suppliers

- Managing Inventory: Inventory management system to avoid overstocking

### Financing Decision

- Option A – Equity: 20% stake for $50,000 from angel investor
- Option B – Debt: $50,000 bank loan at 5% interest, 5-year repayment
- Decision: Mix – $25,000 from angel + $25,000 bank loan

### Financial Statements

| Income Statement | Balance Sheet | Cash Flow Statement |
|---|---|---|
| Revenue: $20,000<br>COGS: $3,000<br>Gross Profit: $17,000<br>Op. Expenses: $12,000<br>**Net Profit: $5,000** | Assets: $50,000<br>Liabilities: $15,000<br>**Equity: $35,000** | Inflows: $20,000 (sales)<br>Outflows: $18,000<br>**Net Cash Flow: $2,000** |

### Financial Ratios – XYZ Coffee Shop

- Current Ratio: 2.5 → Good short-term liquidity
- Net Profit Margin: 25% → Strong profitability
- Debt-to-Equity Ratio: 0.43 → Manageable leverage

### Risk Management – XYZ Coffee Shop

| Risk Type | Risk | Mitigation |
|---|---|---|
| **Operational** | Equipment breakdown | Regular maintenance + emergency repair fund |
| **Financial** | Cash flow shortages | Maintain cash reserve + line of credit |
| **Market** | Increased competition | Differentiate products + enhance customer experience |

### Equity Value vs Enterprise Value

| EQUITY VALUE (Market Cap) | ENTERPRISE VALUE (EV) |
|---|---|
| Total value of a company's outstanding shares of stock. Reflects what shareholders own. | More comprehensive – includes debt, excludes cash. Represents total takeover value. |
| **Formula: Share Price × Outstanding Shares** | **Formula: Equity Value + Total Debt - Cash & Equivalents** |
| Used in: P/E ratio, per-share metrics | Used in: Acquisitions, EV/EBITDA comparisons |
| More sensitive to share price changes | More stable – accounts for financial structure |

*Example – ABC Corp: Share Price $50 × 10M shares = $500M Equity Value. With $200M debt and $50M cash: EV = $500M + $200M - $50M = $650M*

## 5. ENTREPRENEURSHIP AS INNOVATION & PROBLEM SOLVING (Lecture 14 – Complete)

Entrepreneurship is a driving force for innovation and problem-solving. Entrepreneurs identify opportunities, devise creative solutions, and implement strategies to address challenges.

### 5.1 Key Concepts

| Concept | Definition | Types / Approaches |
|---|---|---|
| **Entrepreneurship** | Creating, managing & scaling a business venture to make profit while addressing a market need or solving a problem | Innovators, Imitators, Social Entrepreneurs |
| **Innovation** | Process of translating ideas into goods/services that create value | Product Innovation \| Process Innovation \| Business Model Innovation |
| **Problem Solving** | Process of identifying solutions to specific issues or challenges | Analytical \| Creative \| Strategic |

### 5.2 Role of Entrepreneurship in Innovation & Problem Solving

- Entrepreneurs drive innovation by introducing new products, services, and business models

- They solve problems by identifying gaps in the market and developing solutions for unmet needs
- Entrepreneurship fosters economic growth, creates jobs, and improves societal well-being

## 5.3 Case Studies (ALL – Memorize These!)

### Case Study 1: Tesla Inc.

| | Tesla Inc. |
|---|---|
| **Founded** | 2003 by engineers Martin Eberhard & Marc Tarpenning; significant leadership under Elon Musk |
| **Innovation** | Developed electric vehicles (EVs) with superior performance and range compared to combustion engine vehicles |
| **Problem Solved** | Addressed greenhouse gas emissions by providing a sustainable alternative to gasoline-powered cars |
| **Impact** | Spurred the global automotive industry to accelerate EV adoption, contributing to a reduction in carbon emissions |

### Case Study 2: Airbnb

| | Airbnb |
|---|---|
| **Founded** | 2008 by Brian Chesky, Nathan Blecharczyk, and Joe Gebbia |
| **Innovation** | Created an online platform allowing homeowners to rent out properties to travelers, disrupting the hotel industry |
| **Problem Solved** | Addressed expensive and limited lodging options by offering more affordable and diverse accommodations |
| **Impact** | Transformed the travel & hospitality industry; provides unique travel experiences; enables property owners to generate income |

### Case Study 3: TOMS Shoes

| | TOMS Shoes |
|---|---|
| **Founded** | 2006 by Blake Mycoskie |
| **Innovation** | Introduced the One-for-One business model: for every pair sold, one pair is donated to a child in need |
| **Problem Solved** | Children in developing countries lacking proper footwear, leading to health issues and limited education access |
| **Impact** | Donated millions of shoes worldwide; inspired many companies to adopt social responsibility in business models |

### Case Study 4: Zoom Video Communications

| | Zoom Video Communications |
|---|---|
| **Founded** | 2011 by Eric Yuan |
| **Innovation** | User-friendly, reliable video conferencing tool for both small and large groups; screen sharing, recording, virtual backgrounds |
| **Problem Solved** | Inadequate and cumbersome video communication tools, especially problematic for remote work, education, and global connectivity |
| **Impact** | Massive adoption during COVID-19 pandemic; reshaped how people work and interact remotely; set new standards for digital communication |

### Case Study 5: Patagonia

| | Patagonia |
|---|---|
| **Founded** | 1973 by Yvon Chouinard; outdoor clothing & gear company |
| **Innovation** | Use of recycled materials, organic cotton; Worn Wear program (repair & reuse old gear); sustainable business practices |
| **Problem Solved** | Environmental degradation caused by the apparel industry; incorporates environmental activism into business model |
| **Impact** | Benchmark for corporate responsibility and environmental stewardship; influenced other companies to adopt eco-friendly practices |

## 5.4 Discussion Questions (Possible Exam Scenarios)

7. How do entrepreneurs identify opportunities for innovation?
8. What are some common challenges entrepreneurs face in solving problems?
9. How can society support entrepreneurial ventures addressing social and environmental issues?
10. How did Zoom's innovation meet the increasing demand for remote communication?
11. What sustainable practices has Patagonia implemented, and how have they influenced the broader apparel industry?
12. In what ways can other companies emulate Patagonia's commitment to sustainability while maintaining profitability?

## 6. PITCHING & PRESENTING IDEAS (Lecture 15 – Complete)

Pitching is the act of presenting a business idea/proposal to persuade an audience to support it. Whether seeking investment, gaining approval, or selling a product, mastering pitching significantly impacts success.

### 6.1 Types of Pitches

- Elevator Pitch – Very short (30–60 sec); quick summary of idea
- Investor Pitch – Detailed; seeks funding from investors
- Sales Pitch – Aims to sell a product/service to customers
- Project Pitch – Gains approval/support for a specific project

### 6.2 Crafting a Compelling Pitch

#### Step 1 – Know Your Audience

- Research: Understand interests, needs, and background of your audience
- Tailoring: Customize the pitch to address their specific concerns and expectations

#### Step 2 – Define Your Purpose

- Objective: Clearly articulate what you want to achieve (funding, approval, sale)
- Call to Action: End with a clear, compelling next step for the audience

#### Step 3 – Structure Your Pitch (9 Elements)

| Element | What to Include |
|---|---|
| **1. Introduction** | Strong opening – grab attention; introduce yourself and your idea |
| **2. Problem Statement** | Clearly define the problem or need your idea addresses |
| **3. Solution** | Present your innovative solution and how it addresses the problem |
| **4. Market Opportunity** | Highlight market potential and demand for your solution |
| **5. Business Model** | Explain how the idea generates revenue and remains sustainable |
| **6. Traction** | Showcase progress, achievements, or milestones reached so far |
| **7. Team** | Introduce team members and their qualifications |
| **8. Financials** | Financial projections and funding requirements overview |
| **9. Closing** | Summarize pitch; reiterate your call to action |

### 6.3 Delivering Your Pitch

#### Engage Your Audience

- Storytelling: Use stories and anecdotes to make the pitch relatable and memorable
- Visual Aids: Use slides, videos, or prototypes to enhance understanding and retention
- Body Language: Maintain eye contact; use gestures; exhibit confident posture

#### Practice & Rehearse

- Practice multiple times to ensure smooth delivery
- Seek feedback from colleagues or mentors; make necessary adjustments

#### Handle Questions & Feedback

- Anticipate Questions: Prepare clear, concise answers for likely questions
- Stay Calm: Remain composed and respectful even with challenging questions
- Adapt: Be open to feedback; show willingness to refine the idea based on constructive criticism

## 6.4 Case Studies

### Case Study 1 – Airbnb Pitch (2008)

| | |
|---|---|
| **Founders** | Brian Chesky, Nathan Blecharczyk, Joe Gebbia |
| **Pitch Highlights** | Emphasized unique value proposition (affordable + diverse lodging); showcased early traction with growing user base; highlighted potential market size |
| **Outcome** | Secured initial funding; Airbnb scaled to become a dominant player in the hospitality industry |

### Case Study 2 – Dropbox Pitch (2007)

| | |
|---|---|
| **Founder** | Drew Houston |
| **Pitch Highlights** | Used a simple but effective demo video; clearly demonstrated the problem of managing files across multiple devices; showed Dropbox's easy-to-use solution |
| **Outcome** | Attracted significant interest and funding; widespread adoption; Dropbox became a leading cloud storage provider |

## 6.5 Discussion Questions (Possible Exam Scenarios)

13. What are the key elements of a successful pitch?
14. How can storytelling enhance the effectiveness of a pitch?
15. What strategies can you use to handle challenging questions during a pitch?

# 7. QUICK REFERENCE – ALL CASE STUDIES

The exam has scenario & analytical questions. Know each company's founder, year, innovation, problem solved, and outcome.

| Company | Lecture | Founded / By | Innovation / Problem Solved | Key Outcome |
|---|---|---|---|---|
| **Coca-Cola Zero Sugar** | L9 – Market Research | 2017 rebrand (Coca-Cola) | Used surveys, focus groups, blind taste tests to rebrand Coca-Cola Zero | Increased market share; reduced brand confusion vs Diet Coke |
| **XYZ Tech** | L11 – Funding | 2018 – Jane Doe & John Smith | Wearable health monitor; used all 8 funding stages from $30k bootstrapping to $2M VC | Successfully scaled globally; balanced control & capital |
| **XYZ Coffee Shop** | L12 – Fin. Mgmt | Jane (founder) | Applied all financial management tools: forecasting, budgeting, cash flow, ratios | Opened second location; sustained profitable growth |
| **EcoFresh** | L13 – Marketing | New venture | Organic food startup; applied segmentation, 4Ps, positioning, branding (tagline: 'Pure, Fresh, and Organic') | Reached urban health-conscious consumers via Instagram/Facebook & in-store tastings |
| **Tesla Inc.** | L14 – Innovation | 2003 – Eberhard & Tarpenning (Musk joined later) | EVs with superior performance; solved greenhouse gas emissions problem | Accelerated global EV adoption; reduced carbon emissions |
| **Airbnb** | L14 & L15 | 2008 – Chesky, Blecharczyk, Gebbia | Online lodging platform; solved expensive/limited hotel options; pitch highlighted market size & early traction | Transformed hospitality; dominant global platform |
| **TOMS Shoes** | L14 – Innovation | 2006 – Blake Mycoskie | One-for-One model; solved lack of footwear in developing countries | Millions of shoes donated; inspired social responsibility in business |

| | | | | |
|---|---|---|---|---|
| **Zoom** | L14 – Innovation | 2011 – Eric Yuan | User-friendly video conferencing; solved cumbersome communication tools | Massive COVID-19 adoption; reshaped remote work & education |
| **Patagonia** | L14 & L16 | 1973 – Yvon Chouinard | Recycled materials, Worn Wear, organic cotton; tackled environmental degradation from apparel industry | Benchmark for corporate responsibility; influenced industry-wide eco-practices |
| **Dropbox** | L15 – Pitching | 2007 – Drew Houston | Demo video pitch for cloud storage; solved multi-device file management problem | Significant funding; became leading cloud storage provider |
| **Theranos** | L16 – Ethics | 2003 – Elizabeth Holmes | UNETHICAL: Misled investors & regulators about blood-testing technology | Legal action, company collapse, financial & reputational damage – highlights need for honesty |

## Ethics Quick Reference (Lecture 16)

| Ethical Challenge | Issue | Solution |
|---|---|---|
| **Honesty & Transparency** | Misleading info, exaggerating claims, hiding facts | Honest & transparent communications in all transactions |
| **Fair Treatment of Employees** | Discrimination, unfair wages, poor conditions | Fair hiring practices, competitive pay, safe environment |
| **Environmental Responsibility** | Harmful practices, resource depletion, pollution | Adopt sustainable practices, reduce waste |
| **Conflict of Interest** | Personal interests conflicting with business decisions | Disclose conflicts; decide in best interest of all stakeholders |
| **Customer Privacy & Data** | Misuse or mishandling of customer data | Robust data protection measures; respect privacy |

## Ethical Decision-Making Frameworks

| Framework | Principle | Application |
|---|---|---|
| **Utilitarian** | Choose actions that maximize overall happiness and minimize harm | Evaluate consequences; choose option that benefits most people |
| **Deontological** | Follow rules/duties regardless of outcome | Adhere to principles: honesty, fairness, respect for others |
| **Virtue Ethics** | Focus on character and virtues of the decision-maker | Cultivate integrity, compassion, and courage in business |

**LAST-MINUTE EXAM CHECKLIST**

Know all case study companies, their founders, year, problem solved, and outcome
Know all 8 funding types with pros & cons; memorize XYZ Tech funding stages
Know the 9-element pitch structure (L15); 4Ps of marketing (L13)
Know Patagonia (ethical + innovative) vs Theranos (unethical) contrast
For financial questions: refer XYZ Coffee Shop numbers (ratios, statements, budgets)